

2. The Company cannot Support Fast Growth

When a company experiences rapid growth, it needs to scale up its operations. In short, if the company's growth increases, it should be able to produce mass products efficiently. If a company's supply chain and production capabilities cannot handle rapid growth, it can result in delays, quality problems, and an inability to meet market demand. A company should be ready to handle rapid growth in sales by implementing strategies to meet the increasing demand and evolving needs of customers.



For instance, Snapdeal was launched as a promising Indian e-commerce platform, competing with giants like Flipkart and Amazon. It experienced rapid growth, attracting significant funding and expanding its operations aggressively. However, Snapdeal struggled with scaling its logistics, ensuring consistent product quality, and retaining customers amid fierce competition. Operational inefficiencies and an inability to sustain its growth momentum led to a decline in market share, forcing the company to restructure and scale down its ambitions.

